

Contestant Number: _____

Time: _____

Rank: _____



FUNDAMENTAL ACCOUNTING (100)

NATIONALS 2023

CONCEPT KNOWLEDGE:

Multiple Choice (30 @ 2 points each) _____ (60 points)

APPLICATION KNOWLEDGE:

Short Answer _____ (69 points)

Problem 1. Depreciation _____ (42 points)

Problem 2. Analyzing Special Journal Transactions _____ (78 points)

TOTAL POINTS _____ ***(249 points)***

Test Time: 90 minutes

GENERAL GUIDELINES:

Failure to adhere to any of the following rules will result in disqualification:

1. No equipment, supplies, or materials other than those specified for this event are allowed in the testing area. No previous BPA tests and/or sample tests (handwritten, photocopied, or keyed) are allowed in the testing area.
2. Electronic devices will be monitored according to ACT standards.

The test is divided into two parts, and you **MUST** complete both parts. You will have 90 minutes to complete your work.

PART ONE Instructions: Concept Knowledge

1. Open Google Chrome and navigate to compete.bpa.org.
2. Click on the Secondary Division Competitions button.
3. Enter your BPA Member ID (8-digits) and Password to access your test questions.
4. Answer all questions and submit your test.
5. Move on to Part Two.

PART TWO: Application Knowledge

Complete the questions in the rest of this test booklet by filling in the PDF.

EXAM GUIDELINES:

You have been hired as a Financial Assistant and will be keeping the accounting records for Digital Solutions, located at 700 Morse Road, Suite 201, Columbus, Ohio 43214. Digital Solutions provides accounting and other financial services for clients. You will complete jobs for Digital Solutions' own accounting records, as well as for clients.

The test is divided into two parts: concept knowledge and application knowledge.

Assumptions to make when taking this assessment:

- Round all calculations to two decimals at the final step.
- Round all percentages to one decimal place.
- Use 360 days for interest calculations.

Multiple Choice Questions

Directions: Identify the letter of the choice that best completes the statement or answers the question.

1. In a period of rising prices, which inventory costing method results in the lowest net income?
 - A. FIFO
 - B. LIFO
 - C. Weighted Average
 - D. Straight Line
2. Which of the following has a debit balance?
 - A. Accumulated Depreciation
 - B. Allowance for Uncollectible Accounts
 - C. Unearned Rent
 - D. Prepaid Advertising
3. Which of the following is a contra account?
 - A. Dividends
 - B. Cash Short and Over
 - C. Gain on Plant Assets
 - D. Interest Expense
4. An example of an intangible asset is the _____ account.
 - A. Loss on Plant Assets
 - B. Copyright
 - C. Accumulated Depreciation
 - D. Land
5. What is the formula for calculating simple interest on a note?
 - A. $\text{Principal} / \text{Interest} / \text{Time}$
 - B. $\text{Principal} / \text{Interest} \times \text{Time}$
 - C. $\text{Principal} \times \text{Interest} / \text{Time}$
 - D. $\text{Principal} \times \text{Interest} \times \text{Time}$
6. A patent costing \$15,000 was purchased at the beginning of the year. The patent has a legal life of 15 years and an expected life of 10 years. What is the Amortization Expense for the 1st year?
 - A. \$1,000
 - B. \$1,500
 - C. \$10,000
 - D. \$15,000

7. Which of the following is a permanent account?
 - A. Dividends
 - B. Income Summary
 - C. Retained Earnings
 - D. Sales Discount
8. Creating financial statements each year with the expectation the corporation will continue indefinitely is an application of what accounting concept?
 - A. Going Concern
 - B. Business Entity
 - C. Matching Expenses with Revenue
 - D. Historical Cost
9. Which of the following would result in a higher gross profit, given everything else being remaining the same?
 - A. Higher Purchases Discount
 - B. Lower Net Sales
 - C. Higher Beginning Merchandise Inventory
 - D. Lower Ending Merchandise Inventory
10. Which of the following is categorized as a Cost of Goods account?
 - A. Sales Discount
 - B. Dividends
 - C. Purchases Discount
 - D. Accumulated Depreciation
11. Cash received for goods or services which have not yet been provided is a(n) _____?
 - A. Accrued Revenue
 - B. Deferred Revenue
 - C. Accrued Expense
 - D. Prepaid Expense
12. How do you calculate the book value of a plant asset?
 - A. Plant Asset cost minus Accumulated Depreciation
 - B. Plant Asset cost plus Accumulated Depreciation
 - C. Plant Asset cost minus Salvage Value
 - D. Plant Asset cost plus Salvage Value
13. A contra asset will _____.
 - A. have a debit balance.
 - B. increase net income.
 - C. increase the book value of the asset.
 - D. increase with a credit.

14. Working capital equals _____.
A. Current Assets + Current Liabilities
B. Current Assets - Current Liabilities
C. Current Assets / Current Liabilities
D. Current Assets X Current Liabilities
15. Which classification of stock gets first rights to dividends?
A. Preferred
B. Common
C. Par Value
D. Treasury
16. The Sales Journal is used to record _____.
A. Sales of merchandise for cash only.
B. Sales of merchandise without sales tax only.
C. Sales of merchandise on account only.
D. All sales transactions.
17. What action would increase gross profit percentage?
A. Increase the selling price of a single item.
B. Sell more items.
C. Increase the cost of the merchandise to the company.
D. Stop selling the item.
18. The amount of prepaid rent that expires this month represents a(n) _____.
A. revenue.
B. liability.
C. expense.
D. asset.
19. If a partner withdraws merchandise from a business, what is the transaction?
A. Dr Capital, Cr Purchases
B. Dr Purchases, Cr Capital
C. Dr Merchandize, Cr Capital
D. Dr Drawing, Cr Purchases
20. Which method of depreciation most likely results in the highest depreciation in the 1st year?
A. Straight-Line
B. Units of Production
C. Double-declining Balance
D. Sum of the Years Digits

21. What does a declaration of dividends do to the Income Statement of a business?
- A. Increases Gross Profit.
 - B. Decreases Net Income.
 - C. Increases the Income Tax paid.
 - D. Dividends do not affect the Income Statement.
22. A business purchases land for \$8,450. It is now worth \$14,000. What accounting concept requires the business to record the land at \$8,450?
- A. Historical Cost
 - B. Going Concern
 - C. Full Disclosure
 - D. Matching Expenses with Revenue
23. By what date must an employer send a W2 to employees each year?
- A. January 1st
 - B. January 31st
 - C. March 31st
 - D. April 15th
24. The total amount of the Purchases journal is posted to Purchases _____.
- A. daily.
 - B. weekly.
 - C. monthly.
 - D. annually.
25. What plant asset is not depreciable?
- A. Land
 - B. Building
 - C. Equipment
 - D. Vehicles
26. When journalizing employer taxes, what account is debited?
- A. Salary Expense
 - B. Wages Expense
 - C. Payroll Taxes Expense
 - D. Federal Income Tax Expense
27. Total liabilities divided by total assets = _____.
- A. Working Capital.
 - B. Debt Ratio.
 - C. Debt to Equity Ratio.
 - D. Equity Ratio.

28. Which of the following accounts would appear on the Post-Closing Trial Balance?
- A. Interest Income
 - B. Unearned Rent
 - C. Dividends
 - D. Rent Expense
29. Which section of the Cash Flows statement would include an issuance of bonds?
- A. Operating
 - B. Investing
 - C. Financing
 - D. Expensing
30. When more time is needed to collect on an account, a business can accept a _____ from a customer.
- A. letter of extension
 - B. notice of default
 - C. notes payable
 - D. notes receivable

Short Answer Problems. 69 Total points

1. On May 4, 2023, Cheskie Corp signs a 90-day, 4.15%, \$2,000 note with State Bank. Find the following:
- a. Account(s) debited on May 4 _____
 - b. Account(s) credited on May 4 _____
 - c. Maturity date _____
 - d. Interest on the note _____
 - e. Maturity value _____
2. Catherine Jones and Kim Nguyen begin a partnership on January 2, 2023 called J&N Creations. To begin, Catherine invests \$20,000 in the partnership while Kim invests \$30,000. During 2023 J&N showed revenue of \$94,600, with expenses of \$38,100. During 2023, Catherine had withdrawals of \$25,340, and Kim had withdrawals of \$31,260. Profits and Losses are split based upon investment ratios. Answer the following questions about J&N Creations, and the two partners.
- a. What was the net income for J&N in 2023? _____
 - b. How much net income goes to Catherine? _____

- c. How much net income goes to Kim? _____
- d. What is the balance of Catherine Jones, Capital, at the end of 2023? _____
- e. What is the balance of Kim Nguyen, Capital, at the end of 2023? _____
3. B & B Corporation's schedule of Accounts Receivable by Age as of year ended December 31 is shown below. The company uses the allowance method and currently has a balance in the Allowance for Uncollectible Accounts of a \$126 debit.

<u>Account Status</u>	<u>Current</u>	<u>1-30 past due</u>	<u>31-60 past due</u>	<u>Over 60 past due</u>
Totals	\$32,100	\$12,350	\$3,420	\$4,600

Estimated Uncollectible Rates

Current	1%
1-30 days past due	2.5%
31-60 days past due	10%
Over 60 days past due	40%

Find the following:

- a. Balance of Accounts Receivable as of December 31. _____
- b. Total value of estimated uncollectible accounts for the year. _____
- c. What is the adjusting entry amount? _____
- d. What account would you debit for the adjusting entry? _____
- e. What account would you credit for the adjusting entry? _____
4. Bixby Electronics shows the following information for the year 2023.
- Sales - \$349,589
Sales Discount - \$2,890
Sales Returns - \$18,904
Purchases - \$195,780
Purchases Discount - \$1,295
Beginning Merchandise Inventory - \$67,346
Ending Merchandise Inventory - \$61,320
- a. What are the Net Sales for 2023? _____
- b. What is the Cost of Goods Sold for 2023? _____
- c. What is the Gross Profit for 2023? _____

5. McGregor Corp shows the following balances after adjusting entries on December 31, 2023. Calculate the amounts shown on the Balance Sheet of McGregor & Sons.

Cash - \$28,700	Capital Stock – 10,000 shares, par value \$5
Accounts Receivable - \$15,900	Retained Earnings, January 1 - \$19,100
Merchandise Inventory - \$47,500	Dividends - \$5,000
Equipment - \$83,800	Accumulated Depreciation - \$16,000
Accounts Payable - \$34,800	Other Current Payables - \$22,500

- Total Assets - _____
- Total Liabilities - _____
- Total Stockholders' Equity - _____
- Retained Earnings - _____
- What was the net income for 2023? - _____

Problem 1. Depreciation. 42 total points

Directions: Use the following information to complete a depreciation table for both the straight line and double-declining balance methods of depreciation. Then answer the questions.

On October 2, 2019, Carson's Repairs bought a new piece of equipment. The cost of the equipment was \$16,800. The estimated useful life of the equipment is 4 years, at which time the salvage value is expected to be \$800.

	Straight Line			Double-declining Balance		
	Annual Depreciation	Accumulated Depreciation	Ending Book Value	Annual Depreciation	Accumulated Depreciation	Ending Book Value
2019						
2020						
2021						
2022						
2023						

- If the equipment was sold on March 30, 2022, for \$4,800, did Carson's Repairs recognize a gain or a loss, assuming straight-line depreciation? _____
- What is the dollar amount of the gain or loss from question a.? _____
- If the equipment was sold on December 31, 2022, for \$4,400, did Carson's Repairs recognize a gain or loss, assuming double-declining balance? _____
- What is the dollar amount of the gain or loss from question c.? _____

Problem 2. Journalizing Transactions. 78 total points

Directions – Journalize the following transactions for Smith Sporting Goods Inc. into the general journal on the following page. Use 7% for the sales tax rate. The chart of accounts is below.

Cash	Sales
Petty Cash	Sales Returns & Allowances
Accounts Receivable – Arenado Co.	Sales Discount
Accounts Receivable – Fitness Center	Purchases
Allowance for Uncollectible Accounts	Purchases Returns & Allowances
Merchandise Inventory	Purchases Discount
Notes Receivable	Advertising Expense
Supplies	Depreciation Expense
Prepaid Insurance	Miscellaneous Expense
Equipment	Rent Expense
Accounts Payable – Cross Weights	Repair Expense
Accounts Payable – Newburgh Company	Utilities Expense
Sales Tax Payable	Interest Revenue
Dividends Payable	Interest Expense
Notes Payable	
Capital Stock – Common (25,000 shares outstanding)	
Retained Earnings	
Dividends	

- May 3 Wrote a check to A1 Realty for rent, \$2,000.
- May 4 Bought 10 merchandise shelves for the store (Equipment) for \$5,000 each. Racks have a total salvage value of \$4,000 and estimated useful life of 5 years. Paid cash.
- May 6 Signed a 90-day, 6%, \$2,000 note with First National Bank. Received cash.
- May 7 Bought supplies from Newburgh Company worth \$800. Wrote a check for \$400 with the remainder on account.
- May 7 Sold merchandise to Arenado Co. for cash, \$700 plus sales tax.
- May 9 Fitness Center ordered merchandise worth \$8,000, plus sales tax. Payment terms for credit sales are 2/10, n/30.
- May 10 Board of Directors declared a dividend of \$5.00 per share.
- May 12 Purchased merchandise on account from Cross Weights totaling \$5,900. Terms of sale are 2/10, n/30.
- May 14 Paid remaining balance to Newburgh Company from purchase on May 7.
- May 15 Returned defective merchandise to Cross Weights from purchase on May 12, \$1,000
- May 17 Granted allowance worth \$1,000, plus sales tax, to Fitness Center, as some of the merchandise shipped was the wrong model.
- May 18 Received payment in full from Fitness Center for purchase of May 9, less allowance credited on May 17.
- May 21 Received maturity value of a note issued by Trey Galston. The 90-day, 8% note was issued in February to replace an accounts receivable of \$800.
- May 24 Paid dividend from declaration on May 10.
- May 28 Paid balance from purchase on May 12, less merchandise returned May 15.
- May 31 Sent electronic funds transfer to Creek Electric for utility bill, \$350.

GENERAL JOURNAL

[illegible]